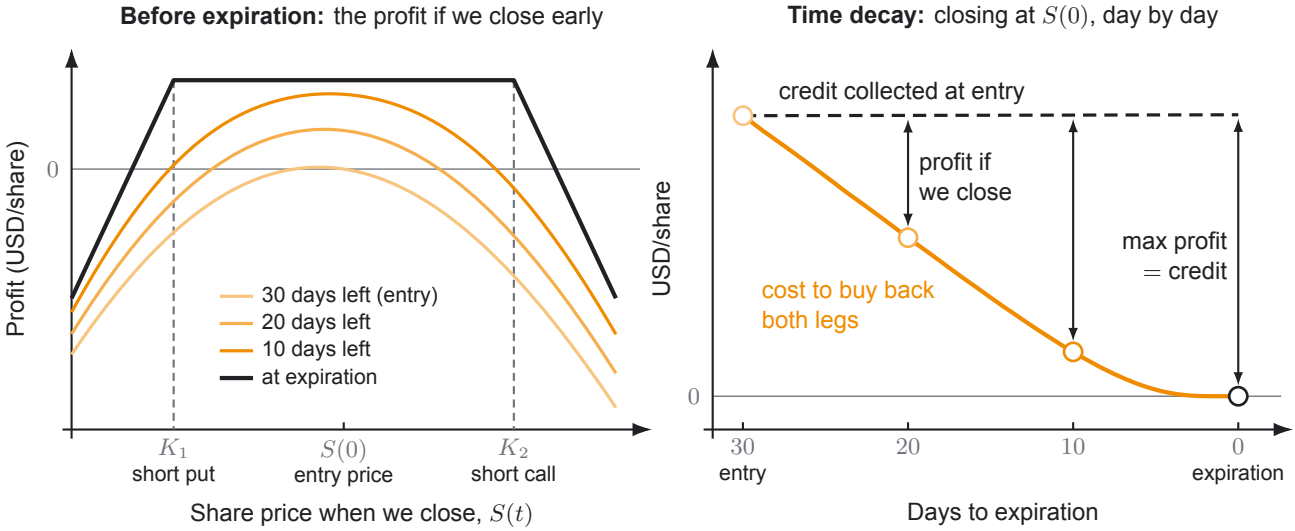
Before expiration: the profit if we close early
Profit (USD/share)
0
30 days left (entry)
20 days left
10 days left
at expiration
K_1
short put
$S(0)$
entry price
K_2
short call
Share price when we close, $S(t)$
Time decay: closing at $S(0)$, day by day
USD/share
credit collected at entry
profit if
we close
max profit
= credit
cost to buy back
both legs
0
30
entry
20
10
0
expiration
Days to expiration